

Because of the nature of this chart pattern, I do not show the same statistics as in other chapters, starting with the Results Snapshot.

The measured move is a drop-retrace-drop pattern. The theory is that the second drop will equal the first one in both time and price. The above results show the measurements.

In bull markets, the first leg of the pattern sees price drop an average of 20% in 26 days. The second leg sees price drop an *average* of 21% in 27 days. That might sound like the pattern works, because both price (20% versus 21%) and time (26 days versus 27 days) moves are similar. However, if you calculate the price change (not percentage change) of the first leg and check it with the second leg, you'll see the second leg will be equal to or longer than the first leg only 43% of the time.

The bear market numbers show the results aren't as tidy as in bull markets, but they are close. The stock takes a bit longer to drop farther, and yet the two legs are almost equal.

Nestled between the first and second legs is the corrective phase, which sees price retrace a portion of the first leg decline.

Let's show some pictures so you can understand what this pattern looks like. If you haven't met a measured move before, you might want to put on your Sunday best.

Tour

[Figure 46.1](#) shows what a measured move down looks like. The decline from the high (point A) to the start of the retrace (point C) is called the *first leg*. The retrace (CD) is commonly referred to as the *corrective phase*, and the remaining decline to the low (D to the end of the trendline at E) is called the *second leg*. The first and second legs are nearly the same size, but their behavior is described in more detail later in the Statistics section.